

COAST EFFECTIVE

The Government and the corporate sector must work in unison to fully exploit India's coastline and develop its port-related infrastructure



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India has a 7,562-km-long coastline, the potential of which is yet to be exploited. There are three things that can help the Government and corporate sector in making use of the coastline. First, development of port-related infrastructure; second, evolving a criteria for roping in only the serious players into the port sector and ensuring that what is taken up for implementation is ultimately achieved; and finally, restricting the number of ports on a given coastal stretch to a level where they can all co-exist.

► **Create big industrial parks near ports** It's the need of the hour to give competitive advantages in logistics and cost to the investors. Creation of a large manufacturing base close to the port can also prove to be helpful. The potential of this approach has been proved at Dahej and Mundra in Gujarat, but it is yet to be fully adopted by planners in the port sector.

► **Synergy between the Centre and state governments** It is essential to develop port-related infrastructure. Almost 95 per cent of India's total volume of international trade is conducted through its 12 major and 187 intermediate ports.

The private sector's participation in port development and operations began only after 1995-96 after a policy change at the Centre changed the face of port infrastructure in Gujarat and Maharashtra. The Build, Own, Operate and Transfer policy with a concession period of 30 years was rolled out to deploy private sector resources and harness the enterprising zeal of Indian companies. The private sector's entry, however, didn't diminish the Government's role as major government ports continue to handle roughly 70 per cent of the country's cargo. Improvements in this area can serve India's interest.

► **Large-scale mechanisation of cargo handling facilities** Along with an emphasis on improving productivity, it can yield desirable returns. Most of the ports have a cash surplus that can be invested to increase the cargo handling capacity and infrastructure.

► **The Government's role** Ports without inland connectivity are like cars without tyres. At Mundra, we have invested huge resources in developing rail and road infrastructure; we continue to maintain it as a matter of core investment. Security is another aspect where the Government needs to play its role actively. The ports need to be protected from external threats and terrorist attacks. Ports do not have the legal powers to arrest or even fire except in self-defence. The Navy and Coast Guard, paramilitary forces like the Central Industrial Security Force as well as intelligence agencies must take up these tasks efficiently.

A lack of understanding is visible in the way the concession agreements are worked out. Often the success of the private operator becomes his nemesis and the rules of the game are changed by using the dominant position of the authority issuing concessions. Risk must have rewards and once the risks have been withstood, is it appropriate to punish the developer on the mistaken notion that he has got undue benefit? How we tackle these issues will impact the development, efficiency and business of the port sector in the future.

as told to Uday Mahurkar



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